

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads)
to the)
Interstate Transmission System)**

Docket No. RM26-4-000

**COMMENTS OF THE
PENNSYLVANIA OFFICE OF CONSUMER ADVOCATE
AND DELAWARE DIVISION OF THE PUBLIC ADVOCATE**

I. INTRODUCTION

On October 23, 2025, U.S. Secretary of Energy Chris Wright issued an Advanced Notice of Proposed Rulemaking (ANOPR) pursuant to Section 403 of the Department of Energy Organization Act.¹ In response, FERC established this docket, No. RM26-4-000, issued a Notice Inviting Comments, and set the deadlines for submitting initial comments by November 21 and reply comments by December 5.

The Pennsylvania Office of Consumer Advocate (PA OCA) represents the interests of Pennsylvania utility consumers before the Federal Energy Regulatory Commission (FERC or Commission).² The Delaware Division of the Public Advocate (DE DPA) represents the interests of Delaware regulated utility consumers, including before FERC.³ The PA OCA and DE DPA (collectively, the Joint Consumer Advocates) appreciate the opportunity to submit comments and further appreciates the DOE’s and FERC’s efforts “to ensure all Americans and domestic industries

¹ See U.S. Sec’y of Energy, Letter Communicating Advanced Notice of Proposed Rulemaking on Large Load Interconnection (Oct. 23, 2025), [hereinafter ANOPR] <https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf>.

² See 71 P.S. § 309-4 (outlining powers of Consumer Advocate to represent residential Pennsylvania utility consumers in FERC proceedings and federal courts).

³ See 29 Del. C. § 8716(e).

have access to affordable, reliable, and secure electricity.”⁴ In submitting these comments, the Joint Consumer Advocates seek to protect the interests of residential consumers in a reliable and affordable regional electricity grid. The Joint Consumer Advocates seek to ensure that these ratepayers do not pay higher rates for less reliable (i.e., inferior) service resulting from the interconnection of large loads that do not offset their load through the addition of timely, local, and adequate capacity resources.

FERC regulates PJM Interconnection LLC’s (PJM’s) operation of interstate transmission and wholesale markets across Pennsylvania, Delaware, all or parts of eleven other states, and the District of Columbia.⁵ In PJM, large load additions have caused growing resource adequacy, reliability, and affordability problems.⁶ Of the 32 GW of peak load growth that PJM has forecasted for 2024 to 2030, 30 GW come from data centers.⁷ To address the resource adequacy problem, PJM has prioritized the “development of reliability-focused solutions to ensure large loads can continue to be integrated . . . *without causing resource inadequacy*.”⁸ Nine Governors within the PJM region correctly noted in their letter to PJM that “our regional grid confronts intertwined reliability and affordability crises.”⁹ Capacity prices have increased elevenfold, from \$28.92/MW-

⁴ See ANOPR, *supra* note 1 (introducing ANOPR in letter).

⁵ See *PJM Power Providers Grp. v. FERC*, 96 F.4th 390, 394-95 (3d Cir. 2024) (citing 16 U.S.C. § 824d(a)-(b)) (outlining Federal Power Act (FPA) Section 205 legal standard); *About PJM*, PJM, <https://www.pjm.com/about-pjm> (last visited Nov. 13, 2025). FERC regulates PJM’s Open Access Transmission Tariff, which, among other things, “sets forth the procedures governing PJM’s capacity auctions.” *PJM Power Providers Grp.*, 96 F.4th at 394.

⁶ Memorandum from Monitoring Analytics, LLC to CIFP-LLA (Oct. 9, 2025) https://www.monitoringanalytics.com/reports/presentations/2025/IMM_CIFP_LLA_Proposal_Memo_20251014.pdf

⁷ Letter from PJM to PJM Stakeholders (Aug. 8, 2025), <https://www.pjm.com/-/media/DotCom/about-pjm/who-we-are/public-disclosures/2025/20250808-pjm-board-letter-re-implementation-of-critical-issue-fast-path-process-for-large-load-additions.pdf>.

⁸ *Id.* (emphasis added).

⁹ Letter from Nine Bipartisan Governors to the PJM Board of Managers (July 16, 2025), <https://www.pjm.com/-/media/DotCom/about-pjm/who-we-are/public-disclosures/2025/20250717-nine-governors-letter-regarding-board-vacancies.pdf>.

day in the 2024/2025 delivery year to \$329.17/MW-day in the 2026/2027 delivery year.¹⁰ In accepting its FERC-approved temporary price collar, PJM acknowledged that it currently faces “extraordinary circumstances . . . including rapid load growth, interconnection queue issues, a compressed auction schedule, and significant unhedged load exposure.”¹¹

Within this context, the ANOPR proposes fourteen principles for reform regarding the interconnection of large loads to the interstate transmission system. The Joint Consumer Advocates submit these comments to represent the interests of ratepayers within their states by ensuring that the Commission’s regulation of transmissions and the wholesale markets does not result in increased rates to retail consumers for less reliable (i.e., inferior) service.¹²

II. SUMMARY OF THE JOINT CONSUMER ADVOCATES’ ANOPR COMMENTS

These Comments respond to the ANOPR on behalf of residential electricity consumers in Pennsylvania and Delaware. The Joint Consumer Advocates support jurisdictional federal avenues for regulating the interstate transmission and wholesale market aspects of large load interconnection, while respecting states’ existing authority, including the authority to interconnect large loads at the distribution level.

The Joint Consumer Advocates’ comments prioritize the following, to the extent that they do not impermissibly preempt existing state jurisdiction: defining what it means to “directly” interconnect to transmission facilities and the implications of direct interconnection on states’ authority over transmission siting; supporting the ANOPR’s 20 MW threshold for large loads; supporting reduced interconnection study timelines, if they fully account for costs to other grid

¹⁰ Ethan Howland, *PJM Capacity Prices Set Another Record with 22% Jump*, Util. Dive (July 23, 2025), <https://www.utilitydive.com/news/pjm-interconnection-capacity-auction-prices/753798/>.

¹¹ *PJM Interconnection, L.L.C.*, 191 FERC ¶ 61,066, at P 15 (2025).

¹² See *PJM Power Providers Grp.*, 96 F.4th at 394-95 (providing FPA section 205 legal standard); see also Joshua C. Macey, *Zombie Energy Laws*, 73 Vand. L. Rev. 1077, 1096-1105 (2020) (explaining that various energy doctrines, including those in the FPA, originated to protect consumers).

users and do not sacrifice reliability and accuracy; supporting physical, operational, and financial controls, to the extent that they do not preempt existing state jurisdiction; supporting a large load and hybrid interconnection queue featuring standardized minimum study deposits, readiness requirements, and withdrawal penalties; supporting adherence to all NERC interconnection study guidelines for large loads; supporting load and hybrid responsibility for 100% of network upgrade costs, without a crediting mechanism; and supporting several ratepayer protections beyond those the ANOPR listed, including minimum contractual provisions, a minimum interstate transmission demand charge of at least 85%, minimum demand payments and ramping, and minimum financial collateral requirements. However, due to the evolving jurisdictional and regulatory landscape at the state and regional levels, the Joint Consumer Advocates reserve the right to refine and further develop its support through Reply Comments in this docket.

III. COMMENTS

A. Legal Background

The Joint Consumer Advocates support FERC's regulation of interstate transmission and matters directly affecting wholesale markets, consistent with the Federal Power Act's (FPA's) plain text, core reliability and affordability purposes, and cost causation.¹³ As the ANOPR correctly notes,¹⁴ FERC can and should regulate large loads' interstate transmission and wholesale market aspects,¹⁵ with care to avoid preempting reserved areas of existing state jurisdiction.¹⁶ Due to the resource adequacy and affordability crises that residential consumers face within PJM, the Joint Consumer Advocates support all jurisdictional efforts to effectuate the FPA's plain text and core

¹³ *Nat'l Ass'n of Regulatory Util. Comm'rs v. FERC*, 964 F.3d 1177, 1186 & n.5 (D.C. Cir. 2020) (stating jurisdictional test and noting FPA's "'core purposes' of 'curb[ing] prices and enhance[ing] reliability in the wholesale electricity market.'" (quoting *FERC v. Elec. Power Supply Ass'n*, 577 U.S. 260, 273 (2016))).

¹⁴ See ANOPR, *supra* note 1, at PP 13-16.

¹⁵ 16 U.S.C. § 824(b)(1) (providing Congress's understanding of FPA jurisdiction).

¹⁶ *Cf. Tri-State Generation and Transmission Ass'n, Inc.*, 193 FERC ¶ 61,070, at PP 45-50 (2025).

purposes as well as cost causation principles. Primarily, the Joint Consumer Advocates support the creation of an expedited large load interconnection queue that includes the large load through its interconnecting utility or electric distribution company (EDC), with a workable study timeframe, that seriously accounts for participants' costs to all other affected grid users within the wholesale market.¹⁷ Such an interconnection process should include terms and conditions necessary to ensure resource adequacy, system reliability, and just and reasonable rates. Moreover, the Joint Consumer Advocates support terms and conditions that implement transmission and other cost allocation according to cost causation principles.

B. ANOPR's Principles for Reform

The ANOPR sets forth 14 principles for reform. The Joint Consumer Advocates address each principle below.

1. First Principle for Reform

The first principle for reform included in the ANOPR provides:

First, to avoid *even arguably* affecting the States' jurisdiction over generation facilities, facilities used in local distribution or only for the transmission of electric energy in intrastate commerce, or transmissions consumed by the transmitter, the Commission's jurisdiction should be limited to interconnections directly to transmission facilities, consistent with the Commission's seven-factor test.¹⁸

a. The Joint Consumer Advocates request that FERC clarify the term "directly" to preserve existing state jurisdiction.

Regarding the physical connection of large loads and hybrid facilities "directly to transmission facilities," the ANOPR does not define the term "directly." It is unclear how a large load or hybrid facility could directly interconnect to the transmission system without associated

¹⁷ See Executive Summary of the Pennsylvania Office of Consumer Advocate's Proposal in the PJM CIFP-LLA Stage 4 Process, Pa. Off. Consumer Advoc. (Nov. 10, 2025), <https://www.pjm.com/-/media/DotCom/committees-groups/cifp-lla/2025/20251119/20251119-item-02f---joint-consumer-advocates-package---executive-summary.pdf>.

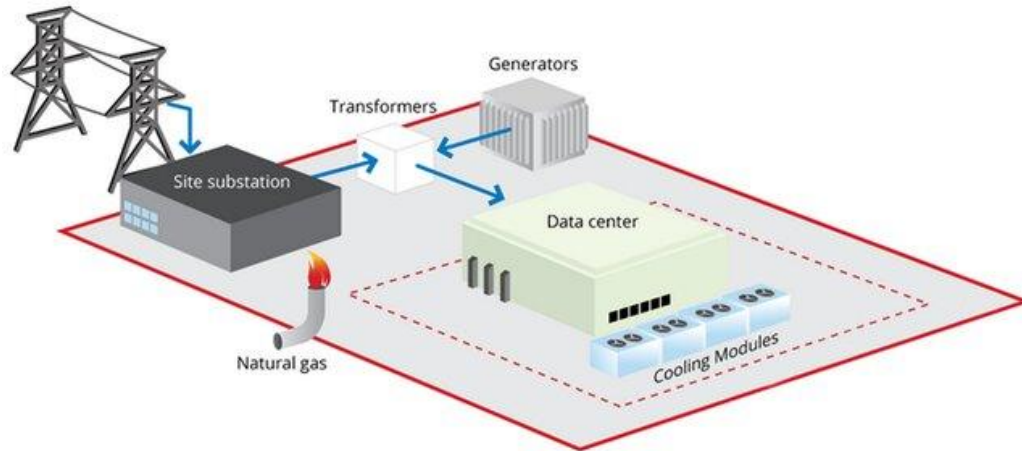
¹⁸ ANOPR, *supra* note 1, at P 18 (emphasis in original) (citations omitted).

facilities that satisfy the Commission’s seven-factor test for being distribution facilities serving retail loads. Figure 1 illustrates a typical data center’s interconnection to the bulk power system. In this image, the data center is not directly interconnected at the same voltage level as the transmission system and instead requires other facilities such as a radial line with power flowing in one direction that is not transported to another market, a substation to reduce the voltage from the transmission system to the data center, a meter to measure power flow, and these facilities will be in close in proximity to the data center.¹⁹ The Joint Consumer Advocates request that FERC define the phrase “directly to transmission facilities” so that commenters and stakeholders can better understand and evaluate electrical configuration and infrastructure ownership against the Commission’s seven-factor test. If this image reflects a typical “direct interconnection”, where the EDC or local utility owns and operations the substations and transformers, the Joint Consumer Advocates assert that the interconnection falls squarely within state jurisdiction; however, in the PJM region, the Joint Consumer Advocates believe that FERC should support bolstered interconnection review processes through enhanced coordination between PJM and the interconnecting EDC.

¹⁹ See *Cal. Pac. Elec. Co.*, 133 FERC ¶ 61,018, at PP 46-48 (2010). In the context of Order No. 888, FERC adopted a “7-factor” test:

- (1) local distribution facilities are normally close in proximity to retail customers
- (2) local distribution facilities are primarily radial in character
- (3) power flows into local distribution systems; it rarely, if ever, flows out
- (4) when power enters a local distribution system, it is not re-consigned or transported on to some other market
- (5) power entering a local distribution system is consumed in a comparatively restricted geographic area
- (6) meters are based at the transmission/local distribution interface to measure flows into the local distribution system
- (7) local distribution systems will be of reduced voltage

Figure 1: Diagram of Data Center Receiving Power via a Substation and Transformers from the Bulk Power System²⁰



- b. FERC's goals can be accomplished without impermissibly interfering with existing state jurisdiction over end user interconnections to utility distribution service.**

As the ANOPR correctly notes, FERC can and should regulate large loads' interstate transmission and wholesale market aspects with care to avoid preempting reserved areas of existing state jurisdiction. FERC can accomplish its goals by permitting or requiring the RTO to establish and administer an interconnection queue process through which the large load + its interconnecting EDC/utility are placed into the queue for interstate transmission service. Today transmission owners already (1) receive requests from the interconnecting EDC/utility as it relates to a large load/end user, and (2) enter into appropriate transmission services agreements/construction services agreements/engineering services agreement to govern the transmission infrastructure needed to serve the new load and to directly assign costs to the large load. In restructured states, often the transmission owner and the EDC/utility are distinctly regulated by FERC and the state commission for their transmission and distribution service,

²⁰ S. A. Chhachhi, *Data Centre Demand Response: Geographical Load Balancing for Distributed Generation Integration in Low Voltage Networks* 25, Figure 5.1 (2015) https://www.researchgate.net/publication/330933508_Project_Title_Data_Centre_Demand_Response_Geographical_Load_Bal-ancing_for_Distributed_Generation_Integration_in_Low_Volt-age_Networks#fullTextFileContent.

respectively, but may be the same company or affiliated companies with same owners. FERC does not need to bypass the interconnecting EDC/utility to create the transmission interconnection queue that it envisions for large load. Rather, it merely needs to layer in the RTO's authority to create a queue to administer the interconnection process to efficiently and reliably interconnect large loads + their interconnecting EDC to the interstate transmission system.

- c. FERC should avoid aiming at existing state authority over distribution-level interconnections because doing so would avoid burdensome litigation and protect states' regulatory flexibility.**

FERC has never claimed the kind of jurisdiction over end-use customer interconnection that the ANOPR proposes.²¹ This first principle of reform poses the potential to impermissibly regulate or interfere with states' existing jurisdiction over the interconnection of retail, end-use customers. It bypasses the consideration that end-use interconnection does not generally occur "directly to transmission facilities," but through local distribution facilities, which fall squarely within state jurisdiction.²² The ANOPR asserts federal jurisdiction over direct large load interconnection to the transmission system according to the Commission's seven-factor test for the primary function of a facility.²³ But FERC took a contrary view when it required open, non-discriminatory access to interstate transmission in the landmark Order 888.²⁴

²¹ See James Downing, *Energy Secretary Asks FERC to Assert Jurisdiction over Large Load Interconnections*, RTO INSIDER (Oct. 24, 2025), <https://www.rtoinsider.com/118053-energy-secretary-asks-ferc-to-assert-jurisdiction-over-large-loads/> (describing novel assertion of jurisdiction and referring to FERC Order 888).

²² 16 U.S.C. § 824(b)(1); *New York v. FERC*, 535 U.S. 1, 22-23 (2002) ("However, FERC has not attempted to control local distribution facilities through Order No. 888."). "To the contrary, FERC has made clear that it does not have jurisdiction over such facilities . . . and has merely set forth a seven-factor test for identifying these facilities, without purporting to regulate them." *Id.* (citations omitted).

²³ ANOPR, *supra* note 1, at P 18, n.38 (citing 133 FERC ¶ 61,018, at P 45).

²⁴ *Promoting Wholesale Competition Through Open Access Non-discriminatory Transmission Services by Public Utilities; Recovery of Stranded Costs by Public Utilities and Transmitting Utilities*, Order No. 888, 75 FERC ¶ 61,080 (1996) 61 Fed. Reg. 21540, 21625-26, *order on reh'g*, Order No. 888-A, 78 FERC ¶ 61,220, *order on reh'g*, Order No. 888-B, 81 FERC ¶ 61,248 (1997), *reh'g denied*, Order No. 888-C, 82 FERC ¶ 61,046 (1998), *aff'd in part and remanded in part sub nom. Transmission Access Policy Study Group v. FERC*, 225 F.3d 667 (D.C. Cir. 2000), *aff'd sub nom. New York v. FERC*, 535 U.S. 1 (2002).

In Order 888, the Commission stated: “even when our technical test for local distribution facilities identifies no local distribution facilities for a specific transaction, we believe that states have authority over the service of delivering electric energy to end users.”²⁵ In an accompanying footnote, FERC further clarified its jurisdictional understanding with specific, unequivocal language:

This Final Rule *will not affect or encroach upon state authority* in such traditional areas as the authority over local service issues, including reliability of local service; administration of integrated resource planning and utility buy-side and demand-side decisions, including DSM; authority over utility generation and resource portfolios; and authority to impose non-bypassable distribution or retail stranded cost charges.²⁶

This traditional state authority extends both to facilities and services, authorizing state assessment of stranded costs and benefits by any appropriate method.²⁷

The FPA reserved state jurisdiction over the retail aspects of, and facilities used in, local-distribution-level interconnections.²⁸ The ANOPR cites FPA Section 201(b), which provides in part that the FPA “shall apply to the transmission of electric energy in interstate commerce and to the sale of electric energy at wholesale in interstate commerce.”²⁹ But Section 201(a) permits FERC’s FPA authority “to extend only to those matters which are not subject to regulation by the states.”³⁰ Although that policy declaration “cannot nullify a clear and specific grant of jurisdiction,” it “is relevant and entitled to respect as a guide in resolving *any* ambiguity or

²⁵ *Id.* 61 Fed. Reg. at 21626.

²⁶ *Id.* at 21626 n.544.

²⁷ *Id.* at 21650.

²⁸ 16 U.S.C. § 824(b)(1) (FERC “shall not have jurisdiction, except as specifically provided in this Part and the Part next following, over facilities used for the generation of electric energy or over facilities used in local distribution”); *see also Nat’l Ass’n of Regulatory Util. Comm’rs v. FERC*, 964 F.3d 1177, 1183-84 (D.C. Cir. 2020) (quoting *Elec. Storage Participation in Mkts. Operated by Reg’l Transmission Orgs. & Indep. Sys. Operators*, Order No. 841-A, 167 FERC ¶ 61,154, at P 48 (2019) (“Order No. 841 does not modify [S]tates’ authority to regulate the distribution system, including the terms of access, provided that they do not aim directly at the RTO/ISO markets.”)).

²⁹ ANOPR, *supra* note 1, at P 2 & n.7 (citing 16 U.S.C. § 824(b)).

³⁰ 16 U.S.C. § 824(a).

indefiniteness in the specific provisions which purport to carry out its intent.”³¹ To this point, FERC recently relied on Section 201(a) when acknowledging state jurisdiction over retail sales in a recent Order rejecting a vertically-integrated transmission owner’s High Impact Load Tariff (HIL Tariff).³²

The ANOPR risks lengthy, burdensome, and meritorious legal challenges to the extent that it ignores the FPA’s and FERC’s explicit acknowledgements of state jurisdiction. To emphasize the point again, in the Commission’s words:

[E]ven where there are no identifiable local distribution facilities, states nevertheless have jurisdiction *in all circumstances* over the service of delivering energy to end users. Under this interpretation of state/federal jurisdiction, customers have no incentive to structure a purchase so as to avoid using identifiable local distribution facilities in order to bypass state jurisdiction and thus avoid being assessed charges for stranded costs and benefits.³³

Thus, in a rulemaking based on the ANOPR, FERC should continue to reserve the areas of state jurisdiction that it identified in Order 888.

FERC’s formulation of a NOPR should consider that Justice Thomas’s concurring and dissenting opinion in *New York v. FERC*, on which the ANOPR relied, supports continued state jurisdiction over delivering energy to end users. The ANOPR relied on statements about FPA authority over “transmission” in *New York* and Justice Thomas’s accompanying concurring and dissenting opinion, but those statements may not apply in the way the ANOPR suggests.³⁴ Specifically, the ANOPR quotes the *New York* majority opinion for the proposition that “the FPA authorizes FERC’s jurisdiction over interstate transmissions, without regard to whether the

³¹ *Conn. Light & Power Co. v. Fed. Power Com.*, 324 U.S. 515, 527 (1945) (emphasis added).

³² *Tri-State Generation and Transmission Ass’n, Inc.*, 193 FERC ¶ 61,070, at P 46, n.80 (2025) (citing 16 U.S.C. § 824(a)).

³³ Order No. 888, *supra* note 23, at 21626 (emphasis added).

³⁴ ANOPR, *supra* note 1, at P 4, n.12 (citing *New York v. FERC*, 535 U.S. 1 (2002)).

transmissions are sold to a reseller or directly to a consumer”³⁵ The implication that federal authority over “all interstate transmission, without qualification,”³⁶ extends to the interconnection of end use customers misunderstands Justice Thomas’s concurring and dissenting opinion.

According to Justice Thomas, “[a]n electric power system consists of three divisions: generation, transmission, and local distribution.”³⁷ Justice Thomas’s careful reliance on technical descriptions of the electric power system illustrates the dichotomy between high voltage transmission, and “*substations* (essentially transformers) that reduce voltage and spread the power from each transmission line to many successively smaller *distribution* lines, culminating at the retail user.”³⁸ In other words, Justice Thomas’s conception of “interstate transmission” seems to end when the electricity reaches the substation which steps down voltage to the distribution level and feeds distribution lines. This understanding aligns with the majority and dissenting opinions in *Connecticut Light & Power Co. v. Federal Power Commission*,³⁹ which agreed that “distinguishing transmission facilities from facilities used in local distribution was a matter of identifying an ‘exact point’ of demarcation in the network.”⁴⁰ Based on Justice Thomas’s concurrence and dissent, federal jurisdiction over “all interstate transmission, without qualification” does not extend to local distribution facilities culminating in service to the retail, end-use customer.⁴¹ What he asserted, by contrast, was merely that FERC should have provided a

³⁵ *Id.* (citing *New York*, 535 U.S. at 20).

³⁶ *Id.* (quoting *New York*, 535 U.S. at 42 (Thomas, J., concurring in part and dissenting in part)).

³⁷ *New York*, 535 U.S. at 31 (Thomas, J., concurring in part and dissenting in part).

³⁸ *Id.* at 31-32 (Thomas, J., concurring in part and dissenting in part) (emphasis added by Justice Thomas) (quoting P. FOX-PENNER, *ELECTRIC UTILITY RESTRUCTURING: A GUIDE TO THE COMPETITIVE ERA* 5 (1997)).

³⁹ 324 U.S. 515 (1945).

⁴⁰ Brief for FERC at 32, *New York v. FERC*, 535 U.S. 1 (2002) (Nos. 00-568, 00-809) (quoting *Connecticut Light & Power Co. v. FPC.*, 324 U.S. 515, 534, 539, 541 (1945)). Although the Court has acknowledged that “whether facilities are used in local distribution implicates ‘the specialized experience of the FPC in determining such questions,’” that holding was confined to lines used for wholesale sales that also made a few retail sales *prior* to reaching the substation at which distribution began. *See id.* (quoting *Fed. Power Comm’n v. S. Cal. Edison Co.*, 376 U.S. 205, 210 n.6 (1964)).

⁴¹ *New York*, 535 U.S. at 31, 42 (Thomas, J., concurring in part and dissenting in part).

reasoned justification for its decision not to assert jurisdiction over the direct wholesale market effects of the transmission portion of bundled retail sales.⁴² As he put it, “[t]o be sure, I would not prejudge whether FERC *must* require that transmission used for bundled retail sales be subject to FERC’s open access tariff.”⁴³ In Justice Thomas’s view, FERC needed to, and failed to, account reasonably for the anticompetitive wholesale market effects of the *transmission used* in bundled retail sales, but not the state jurisdictional aspects of retail sales.⁴⁴ But the dissenting quibble over the quality of FERC’s reasoning does not support limiting state authority to regulate retail sales themselves, much less the interconnection of end use customers to transmission.⁴⁵

Thus, *New York* does not support the proposition that the federal government can oust states from their statutory, FERC-recognized jurisdiction “in all circumstances” to regulate energy delivery to end use consumers.⁴⁶ Justice Thomas’s description of the electricity grid’s “divisions” cuts in favor of FERC’s recognition that “even when our technical test for local distribution facilities identifies no local distribution facilities for a specific transaction, we believe that states have authority over the service of delivering electric energy to end users.”⁴⁷ FERC’s NOPR should consider this existing state authority to ensure that the NOPR aims exclusively at areas of federal jurisdiction.

⁴² *Id.* at 34-35 (Thomas, J., concurring in part and dissenting in part).

⁴³ *Id.* at 35 (Thomas, J., concurring in part and dissenting in part).

⁴⁴ *Id.* (Thomas, J., concurring in part and dissenting in part).

⁴⁵ *Id.* at 38, 42 (Thomas, J., concurring in part and dissenting in part) (quibbling with majority’s application of *Chevron U.S.A. Inc. v. Natural Resources Defense Council, Inc.*, 467 U.S. 837, 842-43 (1984)).

⁴⁶ See Order No. 888, *supra* note 23, at 21,626.

⁴⁷ See *id.*; *New York*, 535 U.S. at 31-32 (Thomas, J., concurring in part and dissenting in part) (carefully describing categorical boundaries of FPA’s “interstate transmission” in relation to broader electric system).

- d. The ANOPR’s interpretation of the FPA offers insufficient support for FERC to preempt any aspect of historic state police power, including retail, end-use interconnection and transmission siting, because the FPA does not expressly support preemption.**

Pennsylvania and federal courts presume that ambiguous federal statutory text does not preempt laws and regulations enacted pursuant to historic state police power.⁴⁸ Moreover, Pennsylvania courts strongly assert and protect the sovereign interests of Pennsylvania citizens in the federalist structure.⁴⁹ Congress must make an “unmistakably clear” preemptive statement “in the language of the statute” to preempt the Commonwealth of Pennsylvania’s exercise of its historic state police power.⁵⁰ Delaware law is similar: “Courts are reluctant to find federal preemption because of their interest in avoiding unintended encroachment on the authority of a state.... Only when Congress’ intent to provide preemption is clear and manifest will Courts allow such measures.”⁵¹ Regarding the ANOPR at issue, the power to regulate local distribution and service to end-use customers is a historic state police power,⁵² and the FPA has no preemptive effect here because the authority at issue is not “unmistakably clear.” Instead, this retail interconnection authority has a history, tradition, and explicit acknowledgement in a landmark Order from FERC showing that it is a reserved state power.⁵³

⁴⁸ See *Miller v. Se. Pennsylvania Transp. Auth.*, 103 A.3d 1225, 1235 (2014) (quoting *Wyeth v. Levine*, 555 U.S. 555, 565 (2009)).

⁴⁹ *Id.* at 1234-36 (explaining, with rhetorical force, Pennsylvania’s sovereign role in a federalist system).

⁵⁰ *Id.* at 1235 (quoting *Gregory v. Ashcroft*, 501 U.S. 452, 460-61 (1991)).

⁵¹ *Figgs v. Bellevue Holding Co.*, 652 A.2d 1084, at 1088-89 (Del. Super. Ct. 1994) (citing *Myrick v. Freuhauf Corp.*, 11th Cir., 13 F.3d 1516 (1994)).

⁵² See *Ark. Elec. Coop. Corp. v. Ark. Pub. Serv. Comm’n*, 461 U.S. 375, 377 (1983); *Relief Elec. Light, Heat & Power Co.’s. Petition*, 63 Pa. Super. 1, 6-11, 1916 Pa. Super. LEXIS 89 (1916); see also 16 U.S.C. § 824(b)(1) (reserving regulation of “facilities used in local distribution” to the states).

⁵³ See Order No. 888, *supra* note 23, at 21,626.

Based on the FPA’s explicit reservations of state authority,⁵⁴ and the presumption against preemption of historic state police power, FERC should avoid preempting state authority over: retail sales; facilities used in local distribution; the safety and reliability of distribution systems;⁵⁵ terms of access to the distribution system as long as they are not aimed directly at RTO/ISO markets;⁵⁶ the ability to force large loads and hybrids to choose between federal and local market participation;⁵⁷ “requisite permits, agreements, and other documentation;”⁵⁸ “administration of integrated resource planning and utility buy-side and demand-side decisions, including DSM; authority over utility generation and resource portfolios; and authority to impose non-bypassable distribution or retail stranded cost charges;”⁵⁹ transmission siting, and any other existing state authority pertaining to the regulation of utilities.⁶⁰

FERC should avoid preempting existing state authority because courts no longer reflexively defer to agencies’ interpretations of ambiguous statutes, and *Skidmore*⁶¹ deference will not suffice here. A FERC final rule that includes federal preemption of any existing, traditional state authority will face an uphill battle under the U.S. Supreme Court’s new standard of review

⁵⁴ 16 U.S.C. § 824(b)(1).

⁵⁵ *Cf. Nat’l Ass’n of Regulatory Util. Comm’rs v. FERC*, 964 F.3d 1177, 1183, 1188 (D.C. Cir. 2020) (citing *Elec. Storage Participation in Mkts. Operated by Reg’l Transmission Org. & Indep. Sys. Operators*, Order No. 841, 162 FERC ¶ 61,127, at P 36 (2018) (“[N]othing in this Final Rule is intended to affect or implicate the responsibilities of distribution utilities to maintain the safety and the reliability of the distribution system or their use of [ESRs] on their systems.”)).

⁵⁶ *Cf. id.* at 1184 (quoting Order No. 841, 162 FERC ¶ 61,127, at P 48) (“Order No. 841 does not modify [S]tates’ authority to regulate the distribution system, including the terms of access, provided that they do not aim directly at the RTO/ISO markets.”).

⁵⁷ *See id.* at 1188.

⁵⁸ *See id.*

⁵⁹ Order No. 888, *supra* note 23, at 21626 n.544.

⁶⁰ *See Ark. Elec. Coop. Corp. v. Ark. Pub. Serv. Comm’n*, 461 U.S. 375, 377 (1983) (“[T]he regulation of utilities is one of the most important of the functions traditionally associated with the police power of the States.” (citing *Munn v. Illinois*, 94 U.S. 113 (1877))).

⁶¹ *See Loper Bright Enters. v. Raimondo*, 603 U.S. 369, 402 (2024) (citing *Skidmore v. Swift & Co.*, 323 U. S. 134, 140 (1944)) (explaining role of *Skidmore* deference in new standard of administrative review).

for agency statutory interpretation.⁶² Given FERC’s interpretation of FPA jurisdiction in Order 888,⁶³ the FPA’s application to jurisdiction over end use interconnection and utility distribution facilities is, *arguendo*, deeply ambiguous, if not clearly a reservation of state power.⁶⁴ The U.S. Supreme Court’s decision to overturn *Chevron* deference in *Loper Bright Enterprises v. Raimondo*,⁶⁵ will subject any rulemaking authority that rests on an ambiguous statute to the federal courts’ “exercise [of] independent judgment.”⁶⁶ In other words, after *Loper Bright*, “courts need not and under the APA may not defer to an agency interpretation of the law simply because a statute is ambiguous.”⁶⁷

Moreover, due to the intense political and economic attention to the large load interconnection issue, and the absence of a clear grant of statutory authority, the ANOPR could implicate the Major Questions Doctrine.⁶⁸ The Major Questions Doctrine covers sweeping administrative agency “regulatory assertions” with a “colorable textual basis” but that, according to common sense, Congress did not intend to authorize.⁶⁹ When making sweeping changes, an

⁶² See *id.* at 401-04.

⁶³ Order No. 888, *supra* note 23, at 21626 & n.544.

⁶⁴ See 16 U.S.C. § 824(a).

⁶⁵ 603 U.S. 369, 412-13 (2024).

⁶⁶ *Loper Bright Enters. v. Raimondo*, 603 U.S. 369, 412-13 (2024) (“*Chevron* is overruled. Courts must exercise their independent judgment in deciding whether an agency has acted within its statutory authority, as the APA requires.”).

⁶⁷ *Id.* at 413.

⁶⁸ See Memorandum from Monitoring Analytics, LLC to CIFP-LLA (Oct. 9, 2025) https://www.monitoringanalytics.com/reports/presentations/2025/IMM_CIFP_LLA_Proposal_Memo_20251014.pdf; Letter from Nine Bipartisan Governors to the PJM Board of Managers (July 16, 2025), <https://www.pjm.com/-/media/DotCom/about-pjm/who-we-are/public-disclosures/2025/20250717-nine-governors-letter-regarding-board-vacancies.pdf>; Letter from U.S. Sen. John Fetterman to Manu Asthana, President & Chief Exec. Off., and David Mills, Chair, Bd. of Managers, PJM Interconnection, (Sept. 30, 2025), <https://www.pjm.com/-/media/DotCom/about-pjm/who-we-are/public-disclosures/2025/20251013-sen-fetterman-letter-re-the-lla-cifp-process.pdf>; Letter from Seventeen Republican Pennsylvania State Senators to Manu Asthana, President & Chief Exec. Off., PJM Interconnection (Oct. 14, 2025), <https://www.senatorgeneyaw.com/wp-content/uploads/sites/165/2025/10/Letter-to-PJM-from-Senate-GOP-10.14.pdf>.

⁶⁹ *West Virginia v. EPA*, 597 U.S. 697, 722-23 (2022) (quoting *FDA v. Brown & Williamson Tobacco Corp.*, 529 U.S. 120, 133 (2000)).

agency “must point to ‘clear congressional authorization’ for the power it claims.”⁷⁰ Here, Congress has explicitly reserved state authority over retail sales and distribution facilities used in interconnections between interstate transmission and the end user of electricity, for the reasons stated above. But Congress has authorized FERC, as the ANOPR correctly notes, to regulate the interstate transmission and wholesale market aspects of the electricity grid.⁷¹ In regulating according to its FPA authority, FERC should avoid directly regulating or aiming at regulating a matter within states’ sovereign jurisdiction.⁷²

2. Second Principle for Reform

The second principle for reform included in the ANOPR provides:

Second, consistent with the Commission’s pro forma LGIP and LGIA, the reforms should only apply to new loads greater than 20 MW and, for hybrid facilities, where the load is greater than 20 MW. We seek comment on alternative thresholds, including whether such a threshold is necessary at all.⁷³

NERC defines “large loads – including data centers, cryptocurrency mining facilities, hydrogen electrolyzers, manufacturing facilities, manufacturing facilities, and arc furnaces – as ‘[a]ny commercial or industrial load facility or aggregation of load facilities at a single site behind

⁷⁰ *Id.* (quoting *Util. Air Regul. Grp.*, 573 U.S. 302, 324 (2024)).

⁷¹ See ANOPR, *supra* note 1, at P 14 (citing *FERC v. Elec. Power Supply Ass’n*, 136 S.Ct. 760, 764 (2016)). *But cf.* Order No. 888, *supra* note 23, at 21625.

We recognize that jurisdictional issues raise overlapping Federal and state policy concerns that call for heightened cooperation among federal and state regulators. As discussed below, where states unbundle retail sales, we will give deference to their determinations as to which facilities are transmission and which are local distribution, provided that the states, in making such determinations, apply the seven criteria discussed in the NOPR and reaffirmed below. In addition, we clarify our view that there is an element of local distribution service in any unbundled retail transaction, and further clarify other aspects of our jurisdictional ruling to preserve state jurisdiction over matters that are of local concern and will remain subject to state jurisdiction if retail unbundling occurs. *Id.*

⁷² See *Nat’l Ass’n of Regulatory Util. Comm’rs v. FERC*, 964 F.3d 1177, 1186 & n.5 (D.C. Cir. 2020) (stating jurisdictional test and noting FPA’s “‘core purposes’ of ‘curb[ing] prices and enhanc[ing] reliability in the wholesale electricity market.’” (quoting *FERC v. Elec. Power Supply Ass’n*, 577 U.S. 260, 273 (2016))); Matthew R. Christiansen & Joshua C. Macey, *Long Live the Federal Power Act’s Bright Line*, 134 Harv. L. Rev. 1360, 1407-12 (2021) (formulating FPA preemption analysis that includes an objective analysis of “what the regulation does, the problem it is supposed to remedy, and the link between them”).

⁷³ ANOPR, *supra* note 1, at P 19.

one or more point(s) of interconnection that can pose reliability risks to the BPS [Bulk Power System] due to its demand, operational characteristics, or other factors.”⁷⁴

The Joint Consumer Advocates support NERC’s definition of large loads. However, the Joint Consumer Advocates recognize that a minimum size threshold may be needed for practical purposes, although with the caveat that large loads and hybrid facilities below the threshold may be treated as large loads if they “can pose reliability risks to the BPS.”⁷⁵ If a threshold is adopted, the Joint Consumer Advocates support the ANOPR’s minimum threshold of 20 megawatts (MW) for both large loads and hybrid facilities, and this threshold should apply to the customer’s aggregate power requirement rather than to a single point of interconnection. This requirement prevents the splitting of large loads and hybrid facilities into smaller units that do not trigger the minimum threshold.

The ANOPR is not clear on how the term “hybrid facility” relates to the term “co-location” and its multiple variations. PJM has identified eight co-location options for large loads and hybrid facilities.⁷⁶ The ANOPR should precisely define the term “hybrid facility” or request input on this definition and how it corresponds to the term “co-location.” The Joint Consumer Advocates look forward to providing further comment on this issue as appropriate in its reply comments.

⁷⁴ NERC, Preliminary DRAFT Reliability Guidelines Risk Mitigation for Emerging Large Loads, May 2026, p. vi, https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/draft_reliabilityguideline_riskmitigationforemerginglargeloads.pdf, citing NERC, White Paper: Characteristics and Risks of Emerging Large Loads, July 2025, p. 1, https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/3_doc_white-paper-characteristics-and-risks-of-emerging-large-loads.pdf.

⁷⁵ NERC’s use of the terms “hybrid resources” and “co-located resources” refer only to generation and/or storage technologies. NERC, Reliability Guidelines Performance, Modeling, and Simulations of BPS-Connected Battery Energy Storage Systems and Hybrid Power Plants, June 2023, p. xii, https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/irps/reliability_guideline_bess_hybrid_performance_modeling_studies.pdf.

⁷⁶ PJM FERC Filing, Large Loads Co-Located at Generating Facilities, Constellation Energy Generation, LLC v. PJM Interconnection, L.L.C. AD24-11-000 EL25-20-000 (Consolidated), Exhibit A, March 24, 2025, <https://www.pjm.com/-/media/DotCom/documents/ferc/filings/2025/20250324-el25-49-000.pdf>.

3. Third Principle for Reform

The third principle for reform included in the ANOPR provides:

Third, to the extent practicable, load and hybrid facilities should be studied together with generating facilities. Such an approach will allow for efficient siting of loads and generating facilities and thereby minimize the need for costly network upgrades. For example, siting a large load near or at the same point of interconnection as a new generating facility could reduce the network upgrades needed to interconnect only the load or only the generating facility.⁷⁷

The Joint Consumer Advocates support methods to reduce generation interconnection study times and studying load and hybrid facilities in conjunction with generating facilities to minimize the need for costly network upgrades, provided that the interconnection study process is comprehensive and technically sound. The interconnection study process should not be accelerated at the expense of reliability or accuracy of identifying network upgrades. On July 10, 2024, a 230 kV transmission line fault led to the simultaneous loss of 1,550 MW of large loads that was not anticipated by system operators.⁷⁸ This event illustrates the importance of comprehensive and technically sound planning and operations to prevent similar future events; on this matter, any advice from NERC and other electrical engineers should be heeded.

In addition, physical, operational, and financial controls must be implemented to ensure that load and hybrid facilities operate within their requirements as specified by the interconnection agreements. Furthermore, if a large load or hybrid facility wants to retire, expand, or reduce its

⁷⁷ ANOPR, *supra* note 1, at P 20.

⁷⁸ NERC, Comments of the North American Electric Reliability Corporation, Docket No. EL25-49-000, AD24-11-000, EL25-20-000, April 23, 2025, Attachment B, NERC Incident Review: Considering Simultaneous Voltage-Sensitive Load Reduction, https://www.nerc.com/globalassets/who-we-are/legal--regulatory/filings--orders/nerc-filings-to-ferc/2025/comments-re-large-loads-el25-49_signed.pdf. In Attachment B, pp. 8-9, NERC lists additional possible actions for interconnection studies such as “require dynamic response models of large loads in their facility interconnection requirements,” “perform studies to determine the potential magnitude of load for system disturbances (faults), and “take into consideration the potential for voltage-sensitive load loss when configuring automatic reclosing schemes.”

capabilities, a similar study process should be conducted to ensure that any changes do not adversely impact reliability, or if any upgrades would be required.

Both planned and unscheduled maintenance complicate the assumption that hybrid facilities can operate at a constant injection or withdrawal rate. For example, if the generation unit of a hybrid facility is unavailable due to maintenance and the hybrid facility's withdrawal rights are zero (based upon the planning assumption that the generation unit nets to zero the large load), then the large load would have to shut down to align and ensure operations are consistent with planned scenarios. Generation units require maintenance both for planned and unscheduled outages – caused by severe weather, fuel shortages, human error, transmission outages, or other causes – and can last weeks to months.⁷⁹⁸⁰ NERC tracks the percentage of time that generation units are unavailable due to forced outages; in 2023, the weighted equivalent forced outage rate (WEFOR) was 7.8%.⁸¹

4. Fourth Principle for Reform

The fourth principle for reform included in the ANOPR provides:

Fourth, like generating facilities, load and hybrid facilities should be subject to standardized study deposits, readiness requirements, and withdrawal penalties. These provisions deter speculative projects and provide transmission providers with more useful information to more accurately forecast demand on their systems. We seek comment on the extent to which the existing study deposits, readiness requirements, and withdrawal penalties can be adopted. We also seek comment on whether additional commitments or financial penalties would be appropriate.⁸²

⁷⁹ For example, it generally takes six weeks to two months to refuel a nuclear power plant, which occurs every 18 to 24 months. Duke Energy, <https://www.duke-energy.com/resource-hub/residential/for-your-information/illumination/see-how-a-nuclear-power-plant-refuels#:~:text=An%20outage%20is%20a%20brief,the%20electricity%20delivered%20to%20customers.>

⁸⁰ Planned outages for turbines can last 2 to 6 weeks and occur semi-annually or annually. APG, Turbine Outage Management Best Practices, <https://alliedpg.com/latest-articles/turbine-outage-management-best-practices/>.

⁸¹ NERC, 2024 State of Reliability, June 2024, p. 57, https://www.nerc.com/globalassets/programs/rapa/pa/nerc_sor_2024_technical_assessment.pdf. Weighted refers to adjusting the equivalent forced outage rate by the size of the generation unit.

⁸² ANOPR, *supra* note 1, at P 21.

The Joint Consumer Advocates support establishing a large load and hybrid interconnection queue that is centrally managed by the same entity that manages/administers resource adequacy processes, like PJM.⁸³ This queue should have standardized study deposits, readiness requirements, and withdrawal penalties to deter speculative projects and provide transmission providers and RTOs with useful information to forecast demand on their systems accurately. PJM should propose a large load and hybrid interconnection queue along with associated policies regarding deposits, readiness requirements, and withdrawal penalties, only after obtaining feedback from its stakeholders. That is, many of the policies governing the large load and hybrid interconnection process should be consistent with those of the regional generation interconnection process.

5. Fifth Principle for Reform

The fifth principle for reform included in the ANOPR provides:

Fifth, hybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested. For example, a hybrid facility consisting of a 500MW load and a 600MW generating facility may seek no withdrawal rights and 100MW of injection rights. This provides incentives for co-location with new generation facilities and ensures efficient buildout of the transmission system.⁸⁴

The Joint Consumer Advocates agree that hybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested, so long as the interconnection study process is comprehensive, technically correct, and aligns with agreed upon operational expectations that will be executed. The interconnection study process should not be truncated, however, at the expense of reliability or accuracy of identifying network upgrades. Additionally, controls must be put in place to ensure that hybrid facilities are operating within their requirements

⁸³ Monitoring Analytics (PJM Independent Market Monitor), Planning for Large Load Additions, January 2025, p. 3, https://www.monitoringanalytics.com/reports/Presentations/2025/IMM_PC_Large_Load_Additions_20250107.pdf, “There should be a queue for large load additions as there is for generation.”

⁸⁴ ANOPR, *supra* note 1, at P 22.

per the interconnection agreements. Again, if a hybrid facility wants to expand, retire, or reduce its capabilities, a similar study process should be conducted to ensure that any changes do not adversely impact reliability.

The amount of injection and withdrawal rights requested may vary over time, for example due to changes in the load of the hybrid facility. The study process must consider these variations as appropriate.”

As noted above in Principle Three, both planned and unscheduled maintenance complicate the assumption that hybrid facilities can operate at a constant injection or withdrawal rate and the opinion of electrical engineers on this matter should be heeded.

6. Sixth Principle for Reform

The sixth principle for reform included in the ANOPR provides:

Sixth, any hybrid interconnection shall be required to install the system protection facilities necessary to prevent unauthorized injections or withdrawals that exceed the respective rights. We seek comment on whether other operational limitations should be considered. We also seek comment on the minimum technical requirements for such system protection facilities, whether a hybrid interconnection customer should be subject to penalties for unauthorized injections or withdrawals, how any such penalties should be designed, and how such penalties should be allocated to other transmission customers.⁸⁵

The Joint Consumer Advocates defer to NERC and PJM regarding whether operational limitations are a sufficient alternative to system protection facilities to ensure that large loads and hybrid facilities always satisfy all their withdrawal or injection requirements. Since system protection facilities may fail and operational requirements may not always be implemented correctly, PJM must establish substantial, enforceable penalties, including disconnecting the large load or hybrid facility. The Joint Consumer Advocates will consider the comments of other

⁸⁵ ANOPR, *supra* note 1, at P 23.

stakeholders in this proceeding and provide further comments, if appropriate, in its reply comments.

The Joint Consumer Advocates, however, note that there are significant reliability benefits for the separate study of withdrawals and injections into the grid. Namely, that regional grids can rely on hybrid generation facilities in times of emergency to provide energy and ancillary services to continue supporting the health of the regional grid and that, during times when on-site generation does not or cannot perform to meet the full load, hybrid loads may need to be supplied with energy and ancillary services. Though the clear incentives for the co-location of load with generation should not necessarily be dampened by the development of penalties for unauthorized withdrawals and injections, such penalties should consider the lost benefits to the regional grid because of co-location. As a result, the Joint Consumer Advocates recommend that penalties should only be allocated to the cost-causer and not to other transmission customers which complied with the applicable injection and/or withdrawal rights for those customers.

7. Seventh Principle for Reform

The seventh principle for reform included in the ANOPR provides:

Seventh, the interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited. The system operator's ability to control such facilities through curtailment and/or dispatch must be sufficient for the system operator to integrate the facility into both operations and system planning. This ensures the timely and orderly addition of large loads to the transmission system in a safe, reliable, and non-discriminatory manner. We seek comment on whether this should be accomplished through a serial interconnection study process or by some other means. We also seek comment on appropriate deadlines for such an expedited study process, including whether such studies can be completed in 60 days.⁸⁶

The interconnection of large loads and hybrid facilities raises extremely serious resource adequacy and operational reliability concerns. As the Commission noted:

⁸⁶ ANOPR, *supra* note 1, at P 24.

We are also concerned about the reliability and resource adequacy implications of co-location requirements. ... NERC also raises concerns about grid-level reliability impacts, noting that, in response to a recent fault on the system, 1,550 MW of voltage-sensitive load (e.g., data centers) disconnected from the system without any action by the utilities, leading to a momentary voltage drop. ... We take these reliability concerns raised by [the parties] extremely seriously....⁸⁷

NERC is actively developing interconnection study guidelines for large loads, given their complexity and challenges.⁸⁸ The interconnection study process should comply with all NERC guidelines⁸⁹ and Reliability Standards and not be accelerated at the expense of reliability or accuracy of identifying network upgrades. As part of these efforts by NERC, it has also distributed preliminary guidelines for resource adequacy analysis for large loads.⁹⁰ Any further efforts by NERC related to hybrid facilities as used in the ANOPR's context should be incorporated into this proceeding.

⁸⁷ NERC, Comments of the North American Electric Reliability Corporation, Docket No. EL25-49-000, AD24-11-000, EL25-20-000, April 23, 2025, p. 2, citing FERC Order Instituting Proceeding under Section 206 of the Federal Power Act, 190 FERC 61,115, Docket No. EL25-49-000, February 20, 2025, p. 83, https://www.nerc.com/globalassets/who-we-are/legal--regulatory/filings--orders/nerc-filings-to-ferc/2025/comments-re-large-loads-el25-49_signed.pdf.

⁸⁸ NERC, Preliminary DRAFT Reliability Guidelines Risk Mitigation for Emerging Large Loads, May 2026, https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/draft_reliabilityguideline_riskmitigationforemerginglargeloads.pdf.

⁸⁹ In the alternative, if PJM does not comply with relevant NERC guidelines, it should be required to notify its stakeholders and explain why it is not doing so.

⁹⁰ NERC, Preliminary DRAFT Reliability Guidelines Risk Mitigation for Emerging Large Loads, May 2026, p. 10, https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/draft_reliabilityguideline_riskmitigationforemerginglargeloads.pdf, states the following:

“Given that large loads frequently seek connection to the grid faster than transmission can be built and due to the size of these large loads, they can pose risks to resource adequacy as documented in the NERC LLTF White Paper: Characteristics and Risks of Emerging Large Loads section on Resource Adequacy.”

“Demand may outstrip generation supply as large loads are added faster than the addition of generation resources. These large loads are expected to require firm service, limiting their ability to be considered flexible or providing limited demand-response capabilities. This directly impacts BPS reliability through the reduction of BA Operating Reserves. To address this, RPs should model scenarios in their evaluation of resource adequacy that incorporate accelerated large load additions coupled with delayed generation additions to assess worst-case scenarios.”

“Additionally, Tos should establish a FAC-001 process to verify with RPs [Resource Planners] that there is sufficient generation adequacy prior to interconnecting new large loads.”

Additionally, monitoring and verification processes must be implemented to ensure that load and hybrid facilities are operating within their requirements as specified in the interconnection agreements. Furthermore, if a large load or hybrid facility wants to expand, retire, or reduce its capabilities, it must undergo a similar study process to ensure that any changes do not adversely impact reliability, and any necessary upgrades are identified and funded.

As of the time of this submission, the question of whether and under what conditions PJM large loads or hybrid facilities can agree to be curtailable and dispatchable is being addressed as part of the PJM Critical Issues Fast Path (CIFP) process.⁹¹ The Joint Consumer Advocates support large loads and hybrid facilities that interconnect to the system only if they bring sufficient capacity (either through generation and reserves or capacity-backed demand response) to offset the additional load brought onto the grid.⁹²

The Joint Consumer Advocates look forward to reviewing the comments of PJM and other stakeholders regarding whether curtailable large loads and hybrid facilities' interconnection and resource adequacy studies should be accomplished through a serial process or by some other means and whether this can be completed in 60 days. The Joint Consumer Advocates will provide reply comments, as appropriate, but does not support mandatory timelines for EDCs to conduct interconnection studies, given their importance to ensuring reliability and the potential complexity for different types of large loads and hybrid facilities.

8. Eighth Principle for Reform

The eighth principle for reform included in the ANOPR provides:

Eighth, load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies. We seek

⁹¹ PJM Critical Issues Fast Path – Large Load Additions, <https://www.pjm.com/committees-and-groups/cifp-lla>.

⁹² The Pennsylvania Office of Consumer Advocate, Executive Summary of the Pennsylvania Office of Consumer Advocate's Proposal in the PJM CIFP-LLA Stage 4 Process, November 10, 2025, available on the PJM CIFP website, <https://www.pjm.com/committees-and-groups/cifp-lla>.

comment on whether such costs should be offset through a crediting mechanism and, if so, over how many years.⁹³

The Joint Consumer Advocates agree that load and hybrid facilities should be responsible for 100% of the network upgrades assigned to them through the interconnection studies and that these costs should not be offset through a crediting mechanism. Such a mechanism risks other ratepayers paying for the network upgrades that are the responsibility of the load and hybrid facilities.

The engineering understanding and standards regarding large loads and their safety and reliability implications are still evolving,⁹⁴ and additional interconnection facilities may be needed to comply with future standards that were not in place at the time of interconnection. The Joint Consumer Advocates support the requirement that large load or hybrid facility pays for any additional interconnection facilities retroactively required.

Further, with regard to the language “100% of the network upgrades that they are assigned through the interconnection studies,” the Joint Consumer Advocates respectfully request clarification from FERC as to the intent. This language appears limited to the costs directly assignable to the large load customer because they do not satisfy any of the five criteria under the Commission’s *Mansfield*⁹⁵ test to be considered as integrated into the transmission provider’s transmission system now or in the future and thus are treated as direct assignment rather than

⁹³ ANOPR, *supra* note 1, at P 25.

⁹⁴ NERC, [NERC Seeks to Address Reliability Impacts from Large Load Integration](#), April 17, 2025, and Elevate Energy Consulting, [An Assessment of Large Load Interconnection Risks in the Western Interconnection](#), February 2025.

⁹⁵ *Mansfield Mun. Elec. Dep’t v. New England Power Co.*, 97 FERC ¶ 61,134 (2001), *reh’g denied*, 98 FERC ¶ 61,115 (2002); *Ne. Tex. Elec. Coop., Inc.*, 108 FERC ¶ 61,084, at P 48 (2004), *reh’g denied*, 111 FERC ¶ 61,189 (2005)).

rolled-in to formula rates for ratemaking purposes.⁹⁶ The Joint Consumer Advocates fully support such costs to the large load customer at the time of interconnection.

In addition, with regard to costs that can be rolled-in to formula rates for ratemaking purposes, the Joint Consumer Advocates fully support revisiting a “but-for” test when determining which costs should be paid 100% by the large load customer, as opposed to a general benefits test, because but for the large load, the transmission owner would not have incurred the costs to upgrade the network facilities to serve that customer and the upgrades would not have been put into service without the interconnection of the large load addition. Identifying “but-for” costs as network costs and not as costs directly assignable to the large load addition shifts the burden of paying for the transmission upgrades to other customers despite the clear cost causation from the customer’s interconnection. The use of the “but-for” test would also align cost allocation for the

⁹⁶ Transmission rates are set at four steps, and the PA OCA directs its comments toward the first two steps and those protections that affect ratemaking that can only be imposed on the Large Loads at the time of interconnection to the transmission system. Specifically: (1) the first step is to determine if the new construction consists of network transmission upgrades that benefit all customers or the system as a whole to be paid for in transmission network rates, or if the new construction relates to direct connection facilities to be directly assigned to the large load; (2) the second step is the use of FERC formula rates to determine transmission owners’ revenue requirement inclusive of investments in network transmission upgrades benefiting all customers or the system; (3) the third step is cost allocation to determine each load serving entity’s (LSE’s) contribution to the Network Service Peak Load (NSPL) based on a variety of inputs to determine the zonal transmission rate (or Network Integration Transmission Service (NITS) rate) that the LSE must pay to PJM; and (4) the fourth step is the LSE’s allocation of NITS to retail customers through retail transmission charges. The state only has jurisdiction over the fourth step, while FERC has jurisdiction over the first three steps. However, by the time we get to the fourth step, in Pennsylvania, the PUC only has jurisdiction over the default service supplier’s (i.e., the electric public utility’s) transmission service charges to default service customers (mostly residential and small commercial customers). The PUC has no jurisdiction to regulate the allocation of transmission charges between the private electric supply contract between an electric generation supplier (EGS) and a retail consumer. See *Petition of PPL Electric Utilities Corporation for Approval of Its Default Service Plan For the Period June 1, 2021 Through May 31, 2025*, Docket No. P-2020-3019356 (Opinion and Order entered December 17, 2020); see also *National Railroad Passenger Corporation v. PPL Electric Utilities Corporation and PJM Interconnection, LLC*, FERC Docket No. EL18-78-000, 171 FERC ¶ 61,237 (2020) (subject to reh’g.) (2020 *Amtrak Order*); see also *National Railroad Passenger Corporation v. PPL Electric Utilities Corporation and PJM Interconnection, L.L.C.*, 173 FERC ¶ 61,043 (October 25, 2020) (2020 *Amtrak Order on Rehearing*). Again, the PA OCA directs its comments toward the first two steps and those protections that affect ratemaking that can only be imposed on the Large Loads at the time of interconnection to the transmission system.

interconnection of large load customers with the test traditionally used by the Commission for cost allocation for the interconnection of generators.⁹⁷

9. Ninth Principle for Reform

The ninth principle for reform included in the ANOPR provides:

Ninth, to the extent the interconnection customer is not the transmission owner, the interconnection customer shall be afforded the same (or equivalent) option to build as currently provided to generator interconnection customers.⁹⁸

At this time, the Joint Consumer Advocates do not oppose affording the interconnection customer the same or equivalent option to build as currently provided to generator interconnection customers but reserves the right to respond in its reply comments.

10. Tenth Principle for Reform

The tenth principle for reform included in the ANOPR provides:

Tenth, an existing generating facility that seeks to enter a partial suspension to serve a new load at the same location must go through a system support resource (SSR)/reliability must run (RMR) type study. The study must consider system conditions, including forecasted load growth, at least three years after the proposed suspension date. The partial suspension can only proceed after any network upgrades needed to ensure reliability are placed into service. Any such network upgrades shall be the responsibility of the generating facility. We invite comments on whether and how resource adequacy should be considered in the SSR/RMR type study.⁹⁹

The PJM capacity market is very tight,¹⁰⁰ and the suspension of an existing generating facility raises substantial concerns about having sufficient resource adequacy to prevent rolling

⁹⁷ *Standardization of Generator Interconnection Agreements and Procedures*, Order No. 2003, 104 FERC P61,103 ¶ 694 (2003); *Nev. Power Co.*, 182 F.E.R.C. P61,048, ¶¶ 50-51 (2023). While the Commission adopted a “proportional impact” cost allocation method in Order 2023, this was due to the transition to a “cluster study” process, a process which is not contemplated in the ANOPR except with respect to hybrid facilities. *Improvements to Generator Interconnection Procedures and Agreements*, 184 FERC ¶ 61,054, ¶ 457 (2023).

⁹⁸ ANOPR, *supra* note 1, at P 26.

⁹⁹ ANOPR, *supra* note 1, at P 27.

¹⁰⁰ Monitoring Analytics (PJM Independent Market Monitor), Comments of the Independent Market Monitor for PJM, Docket No. EL25-49-000, April 23, 2025, p. 3, https://www.monitoringanalytics.com/filings/2025/IMM_Comments_to_Response_Docket_No_EL25-

blackouts and high and sustained wholesale prices. As noted in the response to Principle 3, if a large load or hybrid facility wants to retire, expand, or reduce its capabilities, it must go through a similar study process to ensure that any changes do not adversely impact reliability, and any upgrades are identified and entirely funded by the large load or hybrid facility. Additional resource adequacy and market power studies should be required to ensure reliability and just and reasonable prices for wholesale energy, capacity, and ancillary services offered by the generator.

11. Eleventh Principle for Reform

The eleventh principle for reform included in the ANOPR provides:

Eleventh, utilities serving large loads, including those at hybrid facilities, should be responsible for transmission service based on their withdrawal rights, as that value amount reflects the quantity of capacity and energy that is being transmitted across the transmission system to the load.¹⁰¹

In PJM, large load and hybrid facilities should be responsible for transmission service based upon the PJM OATT tariff. Withdrawal rights may or may not reflect the quantity of capacity and energy that is being transmitted across the transmission system to the load, for example if a large load exceeded its withdrawal rights. The Joint Consumer Advocates may provide reply comments on this topic based upon any comments by PJM.

12. Twelfth Principle for Reform

The twelfth principle for reform included in the ANOPR provides:

Twelfth, utilities serving large loads, including those at hybrid facilities, should be responsible for ancillary services based on peak demand, without consideration of any co-located generation. Any co-located generating facilities will similarly be fully compensated for the provision of ancillary services.¹⁰²

[49_20240423.pdf#:~:text=The%20basic%20facts%20in%20PJM%20at%20present,primary%20reasons%20that%20the%20market%20is%20tight](#), “The basic facts in PJM at present are that the capacity market is very tight, meaning that supply is approximately equal to forecast demand plus a reserve margin.”

¹⁰¹ ANOPR, *supra* note 1, at P 28.

¹⁰² ANOPR, *supra* note 1, at P 29.

In PJM, the existing tariff provisions should apply to large loads and hybrid facilities regarding ancillary services. The Joint Consumer Advocates may provide reply comments on this topic based upon any comments by PJM.

13. Thirteenth Principle for Reform

The thirteenth principle for reform included in the ANOPR provides:

Thirteenth, there must be a plan to implement these proposed reforms. We seek comment on appropriate transition plans, including the treatment of large load interconnections that are already being studied for interconnection.¹⁰³

The Joint Consumer Advocates agree that there should be appropriate transition plans to implement any requirements flowing from the outcomes of this ANOPR-initiated process, with ongoing large load interconnections and associated reforms being undertaken by PJM that also may affect the generation interconnection process. It is premature at this point to make specific recommendations regarding transition plans without knowing more about the final requirements that this ANOPR process will produce. The Joint Consumer Advocates believe that PJM should propose a suitable transition plan that does not disrupt existing generation or large load interconnections for stakeholder review.

14. Fourteenth Principle for Reform

The fourteenth principle for reform included in the ANOPR provides:

Fourteenth, utilities serving large loads must meet all applicable NERC reliability standards and OATT provisions. Utilities and we must be prepared to revise large load interconnection procedures and agreements, as necessary. NERC should review its reliability standards to determine if new registration categories or new or modified reliability standards are required to ensure reliability of the BES. This proposal is not intended in any way to discourage public utilities from making filings to address these and similar issues under FPA section 205.¹⁰⁴

¹⁰³ ANOPR, *supra* note 1, at P 30.

¹⁰⁴ ANOPR, *supra* note 1, at P 31.

The Joint Consumer Advocates understand that NERC is reviewing and updating its policies regarding Large Loads as part of its Large Load Task Force.¹⁰⁵ NERC also may release guidelines, which “are not binding norms or parameters nor are they Reliability Standards....”¹⁰⁶ The Joint Consumer Advocates believe that PJM and utilities within the PJM footprint, whether they serve large load and hybrid facilities or not, must abide by all NERC Reliability Standards and guidelines.¹⁰⁷

C. Additional Considerations

As discussed above in the eighth principle for reform, the Joint Consumer Advocates direct its comments toward protections affecting ratemaking that can only be imposed on the Large Loads at the time of interconnection to the transmission system. The Joint Consumer Advocates urge FERC to focus on cost causation throughout this rulemaking.

1. Cost Causation

Congress passed the Federal Power Act (FPA) primarily to protect consumers from undisciplined corporate behavior and ensure “just and reasonable rates.”¹⁰⁸ The FPA effectuates Congress’s “core purposes of curb[ing] prices and enhanc[ing] reliability in the wholesale electric

¹⁰⁵ NERC, Preliminary DRAFT Reliability Guidelines Risk Mitigation for Emerging Large Loads, May 2026, https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/draft_reliabilityguideline_riskmitigationforemerginglargeloads.pdf. See also NERC, Large Loads Action Plan, <https://www.nerc.com/initiatives/large-loads-action-plan>.

¹⁰⁶ NERC, Preliminary DRAFT Reliability Guidelines Risk Mitigation for Emerging Large Loads, May 2026, p. vi, https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/draft_reliabilityguideline_riskmitigationforemerginglargeloads.pdf.

¹⁰⁷ As noted previously, in the alternative, PJM or the utilities must inform stakeholders of all guidelines that they do not comply with and why.

¹⁰⁸ See 16 U.S.C. §§ 824d, 824e; *New York v. FERC*, 535 U.S. 1, 33-34 (2002) (Thomas, J., concurring in part and dissenting in part) (“FERC clearly recognizes the statute’s mandate, stating in Order No. 888-A that ‘our authorities under the FPA not only permit us to adapt to changing economic realities in the electric industry, but also require us to do so, as necessary to eliminate undue discrimination and protect electricity customers.’”) (citation omitted); see also Macey, *supra* note 11, at 1097-98; *Fed. Power Com. v. Hope Nat. Gas Co.*, 320 U.S. 591, 610, (1944) (“The primary aim of this legislation was to protect consumers against exploitation at the hands of natural gas companies.”); Matthew R. Christiansen & Joshua C. Macey, *Long Live the Federal Power Act’s Bright Line*, 134 Harv. L. Rev. 1360, 1382 (2021) (“[B]ecause the NGA and the FPA distribute jurisdiction between FERC and states in exactly the same way, courts have always found that NGA cases are binding precedent in FPA cases and vice versa.” (citations omitted)).

market.”¹⁰⁹ Such consumer protection manifests in part through the application of cost causation principles.¹¹⁰ In a recent Order regarding a High Impact Load Tariff, FERC specifically noted a prominent large load coalition’s acknowledgement of cost causation principles’ importance.¹¹¹ These principles compare “the costs assessed against a party to the burdens imposed or benefits drawn by that party.”¹¹²

Cost causation principles allow for some flexibility and administrative expertise.¹¹³ Rates must match the costs of serving each class or customer “as closely as practicable.”¹¹⁴ Given that large loads seek preferential treatment from FERC through benefits such as expedited interconnection processes, the Joint Consumer Advocates request that FERC ensure that these load facilities pay at least the full costs that they impose on all other grid users.¹¹⁵ In so doing, FERC should err on the side of the FPA’s core statutory purpose to protect consumers from unreliable and unaffordable service due to undisciplined corporate behavior.¹¹⁶

2. Stranded Costs

The ANOPR does not propose any principles directly related to stranded costs. Given FERC’s recent decision in *Tri-State* to reject a vertically-integrated transmission owner’s High Impact Load Tariff (HIL Tariff),¹¹⁷ the Joint Consumer Advocates strongly support this ANOPR and subsequent processes to address the realistic possibility of significant stranded transmission

¹⁰⁹ *Nat’l Ass’n of Regulatory Util. Comm’rs v. FERC*, 964 F.3d 1177, 1186 (D.C. Cir. 2020) (quoting *FERC v. Elec. Power Supply Ass’n*, 577 U.S. 260, 277 (2016)).

¹¹⁰ *See KN Energy, Inc. v. FERC*, 968 F.2d 1295, 1300 (D.C. Cir. 1992).

¹¹¹ *Tri-State Generation and Transmission Ass’n, Inc.*, 193 FERC ¶ 61,070, at P 38 (2025).

¹¹² *Midwest ISO Transmission Owners v. FERC*, 373 F.3d 1361, 1368 (2004).

¹¹³ *See* 193 FERC ¶ 61,070, at P 58 n.96 (citing *KN Energy*, 968 F.2d at 1300).

¹¹⁴ *KN Energy*, 968 F.2d at 1300-01 (quoting *Ala. Elec. Coop., Inc. v. FERC*, 684 F.2d 20, 27 (D.C. Cir. 1982)).

¹¹⁵ *Cf.* ANOPR, *supra* note 1, at P 25 (“Eighth, load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies.”).

¹¹⁶ *See supra* notes 107-108 (identifying FPA’s core purpose to protect consumers).

¹¹⁷ *Tri-State Generation and Transmission Ass’n, Inc.*, 193 FERC ¶ 61,070 (2025).

assets in unbundled/restructured states resulting from large loads and hybrid facilities' interconnection to transmission systems where the facility owner does not take service for sufficient time to pay back the costs it caused the utility to incur. In such a case, these costs may have to be paid for by other ratepayers who did not contribute to the utility incurring the cost. The Joint Consumer Advocates are concerned with any potential gaps in setting the transmission provider's revenue requirement that would materially affect transmission rates paid by all customers.¹¹⁸ For example, while a transmission rate paid by a large load is a retail charge, transmission owners have claimed in state proceedings to credit revenue collected from a minimum demand charge against the transmission owner's formula rate revenue requirement to the benefit of all customers.¹¹⁹ It is not clear to the Joint Consumer Advocates whether or how FERC is overseeing and requiring transmission providers to collect minimum demand charges and to credit the revenue collected against the transmission owner's formula rate revenue requirement to the benefit of all customers.

¹¹⁸ Pa. Off. Consumer Advoc., *Interconnection and Tariffs for Large Load Customers*, Pa. Pub. Util. Comm'n, Docket No. M-2025-305271 (June 6, 2025).

¹¹⁹ See Pennsylvania Public Utility Commission En Banc Hearing Concerning Interconnection and Tariffs for Large Load Customers, Docket No. M-2025-3054271, Joint Comments of FirstEnergy Pennsylvania Electric Company, - Mid-Atlantic Interstate Transmission, LLC, Keystone Appalachian Transmission Company, American Transmission Systems, Inc., and Trans-Allegheny Interstate Line Company, at p. 24, available at <https://www.puc.pa.gov/pcdocs/1882403.pdf> (last visited Nov. 18, 2025) ("With regard to the transmission rate design, the FirstEnergy transmission companies will continue to follow FERC's rolled-in rate treatment of network transmission upgrade costs, with certain ratepayer protections, for data center-related transmission upgrades. That is, network transmission facilities will be rolled into the transmission owner's NITS rate base as outlined by FERC guidance. Transmission and distribution ratepayer protections take the form of retail-level transmission demand charges that are set forth in the service agreement. The distribution demand charge consists of a monthly demand charge of the greater of actual demand or 85% of the customer's stated demand (based on the highest monthly service reservation in the year service commences). Should the customer's demand fall below the floor of 85%, the customer will be charged at 85%. Additionally, a wholesale transmission allocation ensures that the large load will cover any shortfall if demand is less than 85% during the annual zonal coincident peak. This allocation is a one-time, annual payment. Thus, the large load takes the higher of the actual demand or the 85% minimum load imputation for purposes of calculating the annual transmission rate allocation share. This wholesale transmission allocation is credited against the transmission owner's formula rate revenue requirement to the benefit of all customers.").

The Joint Consumer Advocates support a package of ratepayer protections to the extent that the Commission finds them to be jurisdictional: 1) minimum contractual duration, renewal, and cancellation provisions; 2) minimum demand payments and demand ramping requirements; 3) financial collateral and guarantees. This package of protections and safeguards is necessary to prevent cost-shifting from large load and hybrid facilities to existing ratepayers, as the methodology for allocation of transmission costs in unbundled retail sales is subject to the Commission's jurisdiction.

Due to the significant transmission investment required to serve large load customers, it is imperative to ensure that the customers will pay and continue to pay the costs of necessary upgrades, even if such upgrades provide benefits to other network customers.¹²⁰ If the large load customer ceases to receive service at the point of interconnection, any costs directly assigned to the customer paid-for through the transmission utility's formula rates become stranded and are folded into the revenue requirement recovered from other network customers of the transmission utility. Additionally, other network customers lose the benefit of the large load's contributions to overall network rates as, at present, large load customers may reduce transmission rates across the servicing utility's service territory.

To ensure that the costs do not become stranded, and that other network customers do not end up having to foot the bill for the large load customer's premature termination of service, it is imperative to set certain ratepayer protections. While transmission rates are a retail charge, these determinations are made at the time of interconnection, not after. At the time interconnection, the transmission utility has a reasonable opportunity to put ratemaking protections in place to recover its stranded costs.

¹²⁰ See *supra*, Section III.B.8, regarding the ANOPR's Eighth Principle for Reform.

The Joint Consumer Advocates support the establishment of clear contract terms regarding duration, renewal, and termination fees. Additionally, a minimum demand charge of 85% of forecasted peak demand at the conclusion of the ramp period would be reasonable. Importantly, this minimum demand charge – if in excess of actual demand – should be credited towards the network rates of other transmission customers. Doing so provides immediate benefits to the interconnection of a large load customer while providing relief against the transmission costs incurred by the interconnection of that customer. As noted above, this suggestion is driven by (1) comments that the PA OCA reviewed in a relevant Pennsylvania regulatory proceeding, where a transmission owner has asserted that it credits the revenue collected from a minimum demand charge against the transmission owner’s formula rate revenue requirement to the benefit of all customer; and (2) concern for the impact of the *Tri-State* case in restructured/unbundled states.

Another protection for other network transmission customers is requiring a security deposit. While the use of the security deposit may vary – because it is drawn down to pay for minimum charges or because it is directly applied to the transmission utility’s plant in service balance for the amount added to service the customer – it, when coupled with the minimum contract term length, alleviates the risk of stranded transmission plant costs.

Currently, individual service agreements (i.e., transmission service agreements, construction services agreements, engineering services agreement) between large loads and transmission utilities are subject to the Commission’s review and, if needed, approval before they become effective.¹²¹ It is, therefore, within FERC’s clear authority to establish minimum contract terms or tariff provisions governing the terms of service between large load customers and transmission utilities, even if large load customers receive retail service from distribution utilities,

¹²¹ 16 U.S.C. § 824d; 18 C.F.R. pt. 35.

due to the effect on transmission rates and plant in service balances. These contracts are currently reviewed individually and, due to the increase in the number of large load additions projected through the near term, establishing a model tariff or set of contractual provisions will provide for greater administrative efficiency and ease in the Commission's review of such contracts.

While the Joint Consumer Advocates support establishing minimum terms, the Joint Consumer Advocates are not suggesting that such contracts or tariff provisions should not be individually reviewed by the Commission. States, consumer advocates, communities, and competitors of transmission utilities should continue to have the opportunity to provide input into terms and conditions of service in the event that the minimum terms are insufficient protections for the individual utility's customers or adversely affect competition. Minimum terms prevent the exploitation of transmission customers or competition among transmission providers through a race to the bottom.

IV. CONCLUSION

In summary, when defining “interconnections directly to transmission facilities,” and generally, FERC should avoid preempting existing state authority under the FPA. A proposed rule based on the ANOPR should consider implementing the minimum terms, conditions, standards, and guidelines outlined in these comments. And the rule should do so according to FERC’s established consumer protection mandate and cost causation principles.

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